

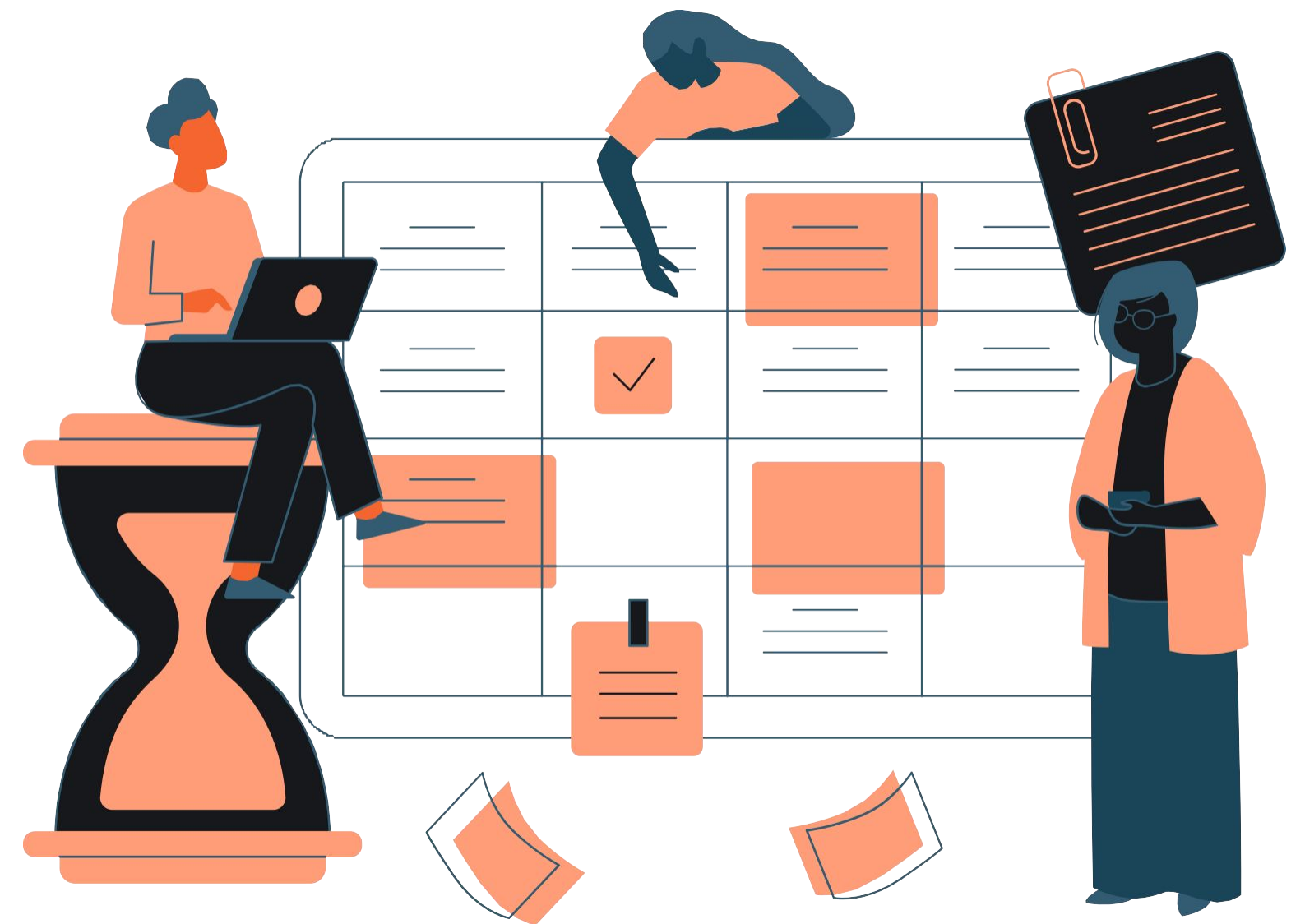
ANALYZING REPORT

EFB ARETE'



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Message from the FnL Team



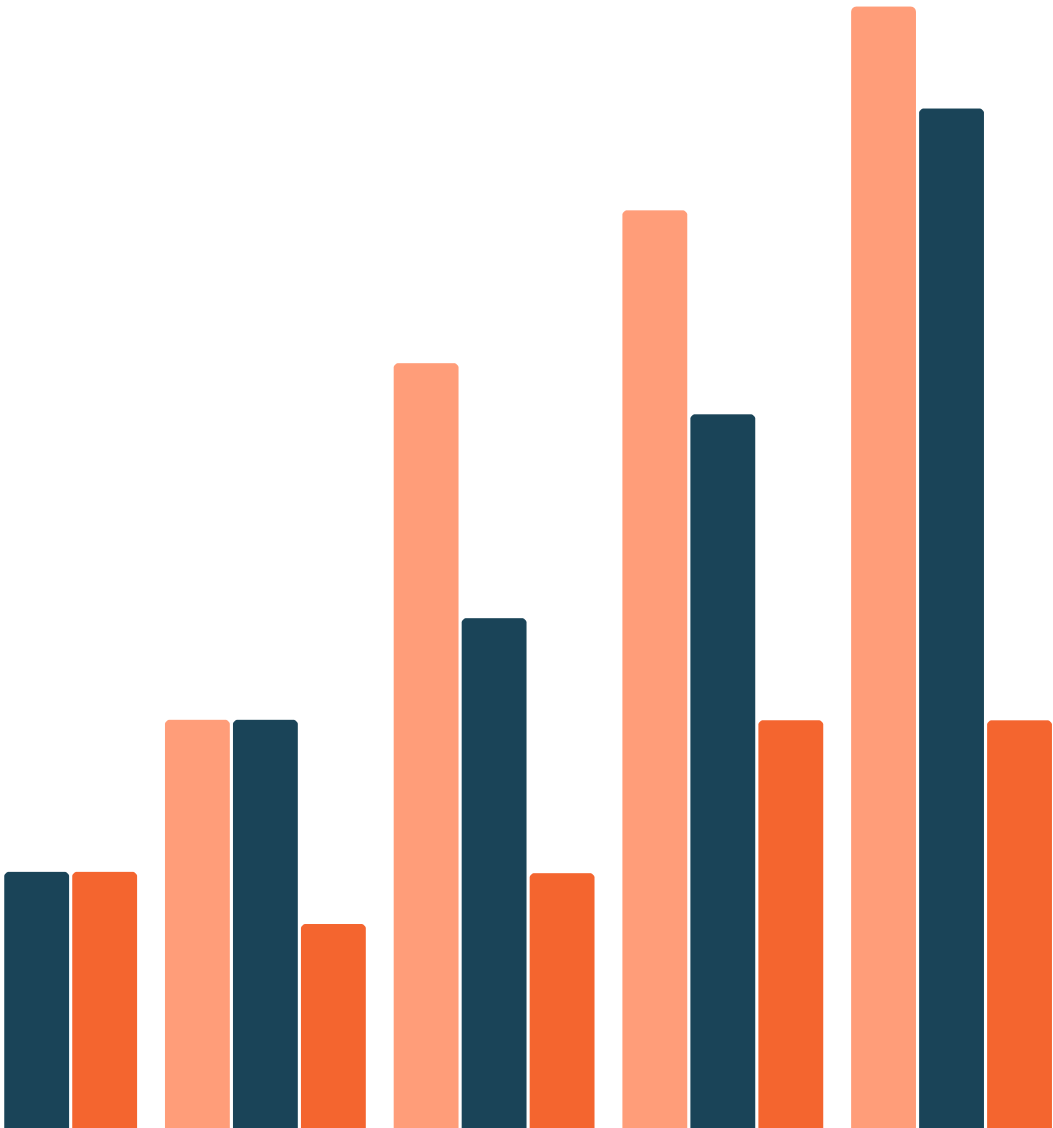
Team Picture

Why do we calculate these ratios?

All these ratios are calculated to give LCs a better insight on where they stand financially. The ratios help them plan for the future and avoid risks .



LIQUIDITY RATIOS



CURRENT RATIO

The current ratio is a liquidity measure that shows an entity's ability to cover its short-term obligations using only cash, cash equivalents and pending short term cash receivables.

Your value here

CASH RATIO

The cash ratio is a liquidity measure that shows an entity's ability to cover its short-term obligations using only cash and cash equivalents.

Your value here

DEBT RATIO

The lower the ratio the better, as it shows that you are not depending on borrowed money to operate. Aim to decrease liabilities and increase assets.

Your value here



PROFIT MARGINS

NET PROFIT MARGIN

Net Profit Margin is used to calculate the relationship between overall revenue and the Total Revenue, it shows the efficiency of an organization to convert its revenue into Net income as a percentage value. The higher the ratio the better, if it is too low you might not be able to cover your indirect costs nor have profit, and may lead to losses

Your value here

GROSS PROFIT MARGIN

The efficiency with which an organization produces its goods or delivers its services, considering only direct costs. Here, the Gross Profit Margins indicate how successful the entity is in order to profit from its services. The higher the ratio the better, if it is too low you might not be able to cover your indirect costs nor have profit.

**Your value
here**

RETURN ON EQUITY

The return on equity depicts the contribution that the Net income has had to the Equity of an entity over a given period of time.

Your value here

LIQUIDITY RATIO

Liquidity ratios measure a company's ability to pay debt obligations and its margin of safety through the calculation of metrics including the current ratio, quick ratio, and operating cash flow ratio.

Your value here



MoCR is only concerned with the cash reserves of the entity. It is a more accurate analysis of financial sustainability as it indicates the cash asset reserves the entity is able to remain sustainable on.

MoCR

The MoCR ratio indicates on how many months is your entity capable to cover your costs without any income.

Your value here

MoFR is concerned with the financial assets that are in the possession of the entity, these include cash assets, property, inventory, investments etc

MoFR

The MoFR ratio indicates on how many months is your entity capable to maintain financial stability without generating revenues

Your value here

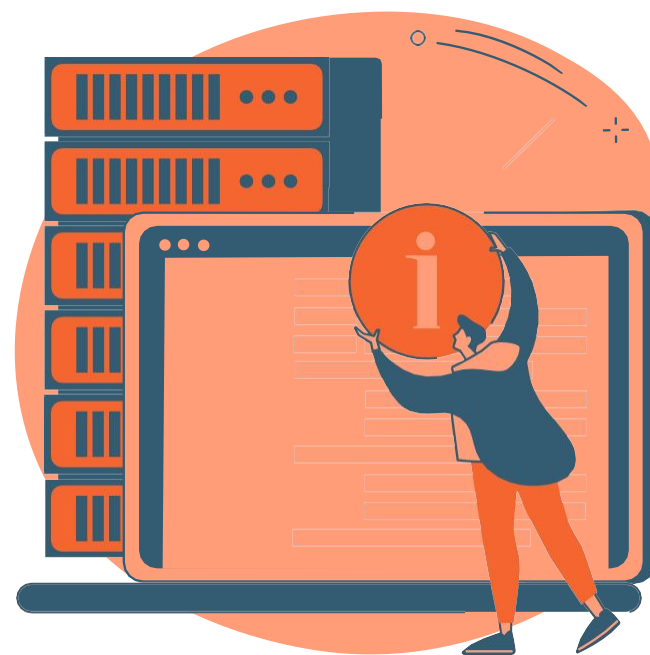


THANK YOU!

**ANY QUESTIONS
???**



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Step plan
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